

CHAPTER 4

Investing for the Long Run

Chapter Summary

The foundation of long-term investing is to rebalance to fixed asset positions, which are determined in a one-period portfolio choice problem where the asset weights reflect the investor's attitude toward risk. Rebalancing is a counter-cyclical strategy that buys low and sells high. It worked well even during the Great Depression of the 1930s and the Lost Decade of the 2000s. Rebalancing goes against investors' behavioral instincts and is also a short volatility strategy.

1. Stay the Course?

In April 2009, just after the worst of the financial crisis, Amy Harrison, an independent investment advisor, prepared to meet with her client, Amelia Daniel.¹ Harrison had been introduced to Daniel three years earlier. At that time, Daniel had just sold her medical information company, Daniel Health Systems, for \$10 million cash. Daniel had also recently divorced. She felt that both the liquidity event and the end of a chapter in her personal life would allow her to start afresh on new, smaller ventures.

After their first meeting, Harrison drafted an investment policy statement (IPS) for Daniel that:

1. Described Daniel's understanding of risk and set her risk tolerance,
2. Identified Daniel's intermediate and long-term goals and her preferences and constraints,
3. Crafted a long-term investment plan,
4. Served as a reminder of guidelines to be used in achieving her goals, and
5. Defined the investment and monitoring process.

¹ This is based on the case "Stay the Course? Portfolio Advice in the Face of Large Losses," Columbia CaseWorks, ID #110309.